Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Com DEGREE EXAMINATION APRIL 2021

CM101T – FINANCIAL ACCOUNTING - I

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. Define Accounting.
2. Describe the term of " Ledger"?
3. What is an Average Due Date?
4. Write short notes on Depreciation?
5. What you understand by Trading Account?
6. State the term of Bank Reconciliation Statement?
7. Discuss Hire Purchase System?
8. What is meant by Installment Purchase System?
9. If the Sales is Rs.5 lakhs and Cost of goods sold is Rs.3 lakhs, What is Gross Profit?
10. Why are Accounting Standards Required?

SECTION – B (5X5=25)

Answer any **FIVE** Questions

11. Enter the following transactions in the Journal of Mr. Ravi of Delhi.2013 JAN,

	Rs.
1 Commenced a business with Cash	1,00,000
2 Cash deposited into Bank	40,000
5 Purchased goods for Cash	20,000
8 Cash sales	40,000
13 Purchased furniture for cash	50,000
17 Sold goods to Priya	20,000
19 Withdrew cash for office use	30,000
25 Paid cash for Stationery	2,000
31 Paid Salaries	10,000

12. Prepare Trial Balance from the following:

	Rs.		Rs.
Capital	9,000	Rent outstanding	1,000
Plant & Machinery	12,000	Opening stock	2,000
Purchases	8,000	Sales returns	4,000
Sales	12,000	Investments	14,000
Creditors	8,000	Debtors	12,000
Bank loan	22,000		

13. Discuss the Causes of Depreciation?

14. A Machine purchased on 1st July 2010 at a cost of Rs. 14,000 and Rs. 1,000 was spent on its installation. The depreciation is written off at 10% on the Original Cost every year. The books are closed on 31st December each year. The Machine was sold for Rs. 9,500 on 31st March 2013.Show the Machinery account for all the year.

15. P owes Q the following sum of money due from him on the dates stated.

Rs. 300 due on March 9, 2013

Rs. 1,000 due on April 2, 2013

Rs. 4,000 due on April 30, 2013

Rs. 100 due on June 1, 2013

He wants to make the complete payment on 30th June 2013.

Calculate interest at 5% p.a. with the help of Average Due Date method.

16. What are the differences between Hire Purchase System and Installment Purchase System?

17. What are the factors that influence Accounting Standards?

SECTION – C (3X10=30)

Answer any THREE Questions

18. Explain the different types of Accounting Concepts ?

19. From the Trial Balance given below, Prepare Final Accounts for the year ending 31.03.2013.

Debit	**Rs.**	**Credit**	**Rs.**
Opening Stock	9,300	Bank Interest	200
Repairs	310	Purchase Return	440
Machinery	12,670	Creditors	12,370
Furniture	1,330	Sales	20,560
Office Expenses	750	Capital	24,500
Trade Expenses	310	Loan	5,000
Land & Buiding	15,400		
Bank Charges	50		
Purchases	15,450		
Sales Returns	120		
Advertisement	500		
Cash in hand	160		
Cash at Bank	5,870		
Sundry Expenses	150		
Insurance	500		
Travelling Expenses	200		
Total =	**63,070**	**Total =**	**63,070**

Adjustments:

a) Closing stock on 31.03.2013 Rs. 7,585

b) Prepaid Insurance Rs. 250

c) Depreciation : Land & Building 5% ;and Machinery 10%.

20. Prepare a Bank Reconciliation Statement from the following data as on 31.12.2013.

a). Balance as per cash book	Rs. 25,000
b). Cheques issued but not presented for payment	Rs. 1,800
c). Cheques deposited in bank but not collected	Rs. 2,400
d). Bank paid Insurance premium	Rs. 1,000
e). Direct deposit by a customer	Rs. 1,600
f). Interest on Investment collected by Bank	Rs. 400
g). Bank charges	Rs. 200

21. X Purchased a machine under Hire Purchase System. According to the terms of the agreement Rs. 40,000 was to be paid on signing of the contract. The balance was to be paid in for annual investments of Rs. 25,000 each plus interest. The cash price was Rs. 1,40,000. Interest is chargeable on outstanding balance at 20% p.a. Calculate interest for each year and the Installment amount.

22. What is the process of formulating Accounting Standards in India?

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